AEGIS BANK

Anti-Money Laundering (AML) Policy

Enterprise AI Decision & Knowledge Platform for Modern Banking

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Document Information

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Approved By	**Sami Khan – Chief Executive Officer (CEO)**

Confidentiality Notice

This Anti-Money Laundering (AML) Policy is a confidential internal document of **Aegis Bank**. It establishes the Bank's framework for preventing, detecting, investigating, and reporting money laundering, terrorist financing, and other financial crimes.

This document is intended only for authorized employees and approved third parties with a legitimate business need.

Unauthorized disclosure or distribution is prohibited.

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1. Purpose

The purpose of this policy is to establish a comprehensive Anti-Money Laundering (AML) framework that protects Aegis Bank from financial crime while ensuring compliance with applicable laws, regulations, and international AML standards.

This policy supports the Bank's commitment to:

- Prevent money laundering.
- Detect suspicious financial activities.
- Combat terrorist financing.
- Protect customers and the financial system.
- Maintain regulatory compliance.
- Protect the reputation of Aegis Bank.

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2. Scope

This policy applies to:

- Retail Banking
- Corporate Banking
- Commercial Banking
- Digital Banking
- Treasury Operations
- Branch Operations
- Compliance Department
- Customer Support
- Third-party service providers involved in customer onboarding or payment processing

All employees are responsible for complying with this policy.

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3. Policy Statement

Aegis Bank adopts a zero-tolerance approach toward money laundering and terrorist financing.

The Bank shall:

- Apply a risk-based AML framework.
- Conduct Customer Due Diligence (CDD).
- Perform ongoing monitoring.
- Report suspicious activities.
- Maintain accurate AML records.
- Cooperate with regulatory authorities where legally required.

Employees must immediately escalate suspected financial crime to the Compliance Department.

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4. AML Objectives

The AML program is designed to:

- Detect suspicious transactions.
- Prevent financial crime.
- Identify high-risk customers.
- Support KYC compliance.
- Monitor customer activity.
- Report suspicious activities.
- Meet regulatory obligations.
- Protect customer trust.

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5. Roles & Responsibilities

Compliance Department

Responsible for:

- Managing the AML program.
- Conducting investigations.
- Reviewing suspicious activity.
- Filing regulatory reports where required.
- Maintaining AML procedures.
- Monitoring regulatory changes.

Branch Employees

Responsible for:

- Identifying suspicious customer behavior.
- Completing KYC procedures.
- Reporting unusual transactions.
- Escalating AML concerns promptly.

Relationship Managers

Responsible for:

- Understanding customer business activities.
- Identifying unusual transaction patterns.
- Monitoring high-risk relationships.
- Supporting Enhanced Due Diligence (EDD).

Executive Management

Responsible for:

- Approving AML governance.
- Allocating compliance resources.
- Reviewing AML reporting.
- Supporting continuous improvement of AML controls.

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6. Money Laundering Overview

Money laundering is the process of disguising the origin of funds obtained through illegal activities to make them appear legitimate.

Aegis Bank recognizes the three commonly accepted stages of money laundering:

Placement

Introducing illicit funds into the financial system.

Examples include:

- Large unexplained cash deposits.
- Multiple small cash deposits intended to avoid reporting thresholds.
- Deposits made by unknown third parties without a clear business purpose.

Layering

Moving funds through multiple transactions to conceal their origin.

Examples include:

- Frequent transfers between unrelated accounts.
- International transfers without an apparent business purpose.
- Complex movement of funds across multiple financial institutions.

Integration

Reintroducing laundered funds into the legitimate economy.

Examples include:

- Purchasing real estate or other high-value assets.
- Investing in businesses using illicit proceeds.
- Repaying loans with funds whose origin cannot be reasonably explained.

Employees must remain vigilant for indicators of each stage during customer interactions and transaction monitoring.

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7. Customer Due Diligence (CDD)

Customer Due Diligence is a key AML control.

Before establishing a customer relationship, employees must:

- Verify customer identity.
- Understand the nature of the customer relationship.
- Assess expected transaction behavior.
- Identify beneficial owners where applicable.
- Determine customer risk level.
- Apply Enhanced Due Diligence (EDD) for high-risk customers.

CDD requirements are detailed further in **AB-OPS-002 – Know Your Customer (KYC) Policy**.

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8. Transaction Monitoring

Aegis Bank continuously monitors customer transactions to identify activity that may indicate money laundering or terrorist financing.

Examples of transactions requiring additional review include:

- Unusually large cash deposits.
- Rapid movement of funds between accounts.
- Transactions inconsistent with the customer's known profile.
- Multiple transfers to or from high-risk jurisdictions.
- Structuring transactions to avoid reporting thresholds.
- Frequent activity on previously dormant accounts.
- Unexplained international wire transfers.

Automated monitoring systems and manual reviews may both be used to detect unusual activity.

End of Part 1

Part 2 will include:

- Suspicious Activity Reporting (SAR)
- Red Flags & AML Indicators
- Sanctions Compliance
- Politically Exposed Persons (PEPs)
- AML Record Retention
- Employee Training
- Internal Audit & Compliance Monitoring
- Practical Examples
- FAQs
- Related Documents

- Revision History
- Document Approval

This will complete **AB-OPS-003 – Anti-Money Laundering (AML) Policy** as a realistic enterprise banking policy for your Aegis Bank RAG knowledge base.

9. Suspicious Activity Reporting (SAR)

Aegis Bank requires employees to promptly identify and report suspicious activities that may indicate money laundering, terrorist financing, fraud, or other financial crimes.

Employees must immediately notify the Compliance Department if they observe unusual customer behavior or suspicious transactions.

Examples include:

- Transactions inconsistent with the customer's known financial profile.
- Large cash deposits without a reasonable explanation.
- Multiple transactions structured to avoid reporting thresholds.
- Frequent international transfers to high-risk jurisdictions.
- Unusual activity involving dormant accounts.
- Sudden changes in transaction behavior.

Employees must document all relevant facts accurately and objectively.

Internal Reporting Procedure

When suspicious activity is identified:

1. Document the relevant facts.
2. Do not alert or question the customer regarding the investigation.
3. Notify the Compliance Department immediately.
4. Cooperate with Compliance during the review.
5. Maintain strict confidentiality throughout the investigation.

Only authorized Compliance personnel may determine whether a formal Suspicious Activity Report (SAR) or equivalent regulatory filing is required.

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10. Red Flags & AML Indicators

Employees should remain alert for potential indicators of money laundering.

Common AML red flags include:

- Unexplained large cash deposits.
- Multiple small deposits intended to avoid reporting thresholds (structuring).
- Frequent incoming and outgoing transfers with no clear business purpose.
- Customers unwilling to provide required identification.
- Inconsistent source of funds information.
- Transactions involving sanctioned or high-risk jurisdictions.
- Third parties conducting transactions without a reasonable explanation.
- Unusual use of newly opened accounts.
- Complex ownership structures without a legitimate purpose.

The presence of a red flag does not automatically indicate money laundering but requires appropriate review.

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11. Sanctions Compliance

Aegis Bank screens customers and transactions against applicable sanctions lists before onboarding and throughout the customer relationship.

Sanctions screening applies to:

- New customers.
- Existing customers.
- Beneficial owners.
- Authorized signatories.
- Payment transactions.

- International wire transfers.

Potential sanctions matches must be escalated immediately to the Compliance Department.

Employees must never process prohibited transactions involving sanctioned individuals or entities unless legally authorized.

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12. Politically Exposed Persons (PEPs)

Relationships involving Politically Exposed Persons (PEPs) require additional scrutiny.

For identified PEPs, the Bank shall:

- Perform Enhanced Due Diligence (EDD).
- Verify the source of wealth.
- Verify the source of funds.
- Obtain senior Compliance approval.
- Conduct enhanced transaction monitoring.
- Review the relationship periodically.

PEP status increases risk but does not automatically prohibit establishing a customer relationship.

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13. Record Retention

AML-related documentation shall be maintained securely and protected against unauthorized access.

Examples include:

- Customer Due Diligence records.
- Enhanced Due Diligence documentation.
- Transaction monitoring records.
- Internal investigation records.
- Suspicious activity assessments.
- Risk assessments.

- Regulatory correspondence.
- Employee AML training records.

Retention Period

AML records shall be retained for **a minimum of seven (7) years** after the customer relationship ends or longer where required by applicable laws or regulatory obligations.

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14. Employee Training & Awareness

All employees must complete mandatory AML training during onboarding and at regular intervals thereafter.

Training topics include:

- Money laundering risks.
- Terrorist financing awareness.
- Customer Due Diligence (CDD).
- Enhanced Due Diligence (EDD).
- Suspicious activity identification.
- Internal reporting procedures.
- Sanctions compliance.
- Regulatory obligations.

Additional training shall be provided whenever significant regulatory or procedural changes occur.

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15. Internal Audit & Compliance Monitoring

The Compliance Department shall regularly review the effectiveness of the AML program.

Audit activities may include:

- Customer file reviews.
- Transaction monitoring assessments.

- Policy compliance testing.
- System control evaluations.
- Staff knowledge assessments.
- Corrective action follow-up.

Findings shall be documented, reported to management, and tracked until resolved.

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16. Policy Exceptions

Any exception to this policy must:

- Be fully documented.
- Include a clear business justification.
- Receive written approval from the Head of Compliance.
- Be retained for audit purposes.

Employees may not waive mandatory AML controls without formal authorization.

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17. Practical Examples

Example 1 – Structured Cash Deposits

A customer deposits **$9,900** in cash on several consecutive days despite having a business profile that does not normally involve cash transactions.

Correct Action

The employee documents the activity and immediately refers the case to the Compliance Department for review.

Example 2 – High-Risk International Transfers

A newly opened account begins sending multiple international transfers to a high-risk jurisdiction with no clear business justification.

Correct Action

The transactions are escalated to Compliance, and additional review is performed before further activity is permitted where appropriate.

Example 3 – Politically Exposed Person

During customer onboarding, the applicant is identified as a senior government official.

Correct Action

Enhanced Due Diligence is completed, senior Compliance approval is obtained, and the customer relationship is placed under enhanced monitoring.

Example 4 – Refusal to Provide Information

A customer refuses to provide documentation regarding the source of funds for unusually large transactions.

Correct Action

The employee suspends further processing where appropriate and immediately escalates the matter to the Compliance Department.

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18. Frequently Asked Questions (FAQs)

Q1. What should I do if I suspect money laundering?

Document your observations and report the matter immediately to the Compliance Department using the approved internal reporting process.

Q2. Should I inform the customer that an AML review is taking place?

No. Employees must never disclose ongoing AML reviews or investigations to customers.

Q3. Is every unusual transaction suspicious?

No. Unusual transactions should be reviewed in context. Compliance determines whether additional investigation or regulatory reporting is required.

Q4. How often is AML training required?

Mandatory training is completed during onboarding and refreshed periodically according to the Bank's compliance training program.

Q5. Who approves AML policy exceptions?

Only the Head of Compliance or an authorized delegate may approve documented exceptions where permitted by internal governance.

Q6. How long are AML records retained?

AML documentation is generally retained for **at least seven years** after the customer relationship ends, unless longer retention is required by law or regulation.

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19. Related Documents

This policy should be read together with:

- Account Opening SOP (AB-OPS-001)
- Know Your Customer (KYC) Policy (AB-OPS-002)
- Customer Privacy Policy (AB-COMP-002)
- Information Security Policy (AB-SEC-003)
- Data Classification Policy (AB-SEC-005)
- Code of Conduct (AB-HR-004)
- Incident Response Plan (AB-SEC-004)

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20. Revision History

Version	Date	Description	Author
v1.0	January 20, 2026	Initial Release	Compliance Department

Version	Date	Description	Author
v1.1	April 24, 2026	Updated Transaction Monitoring and Sanctions Screening Requirements	Compliance Department
v1.2	**July 24, 2026**	**Enhanced Suspicious Activity Reporting, PEP Controls, Employee Training, and Internal Audit Requirements**	**Compliance Department**

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21. Document Approval

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End of Document

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